

Islamic Economics for Economic Resilience and Welfare

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Fikih-Muamalah Based Alternatives



Sharia-Compliant Financial Instruments

1. Islamic Banking and Finance
2. Risk sharing



Redenomination and Monetary Reform

1. Maqashid Al Syariah Framework
2. Digital Rupiah (CBDC)



Strengthening Social and Economic Justice

1. Al-Hisbah Institution
2. Transformative Fiqh

Aspect	Conventional Instruments	Fikih Muamalah Solutions
Interest Rates	Adjusted to control inflation	Replaced by profit-sharing
Currency Stability	Central bank intervention	Redenomination, digital currency
MSME Support	Loans with interest	Risk-sharing, sharia-compliant loans
Social Justice	Limited focus	Al-hisbah, transformative fiqh

Nature and Structure of Islamic Financial Instruments

01

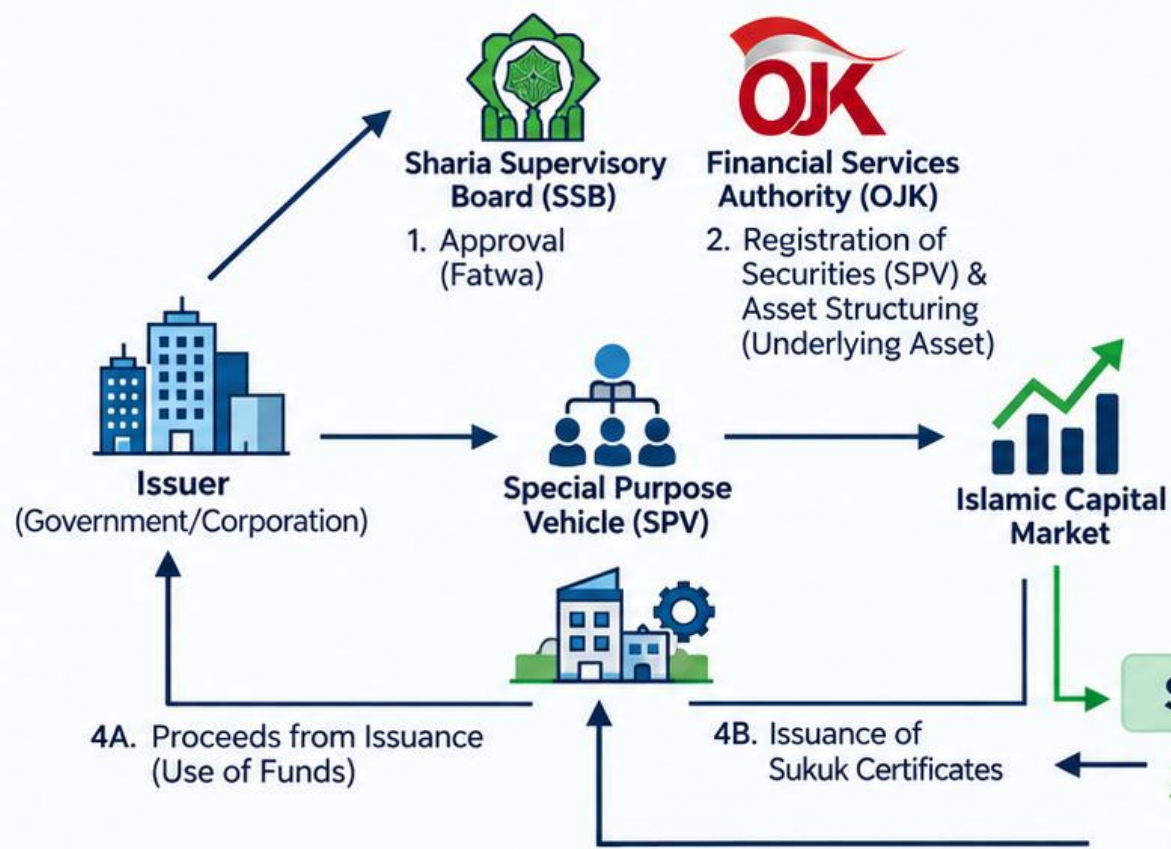
SBIS, SBSN Repo, and Sovereign Sukuk are financial instruments that comply with Sharia principles and are **interest-free**. In particular, **sukuk** are asset-based securities that represent ownership interests in tangible assets or specific projects. Accordingly, the funds raised are directly linked to **real economic activities**, rather than speculative activities.

02

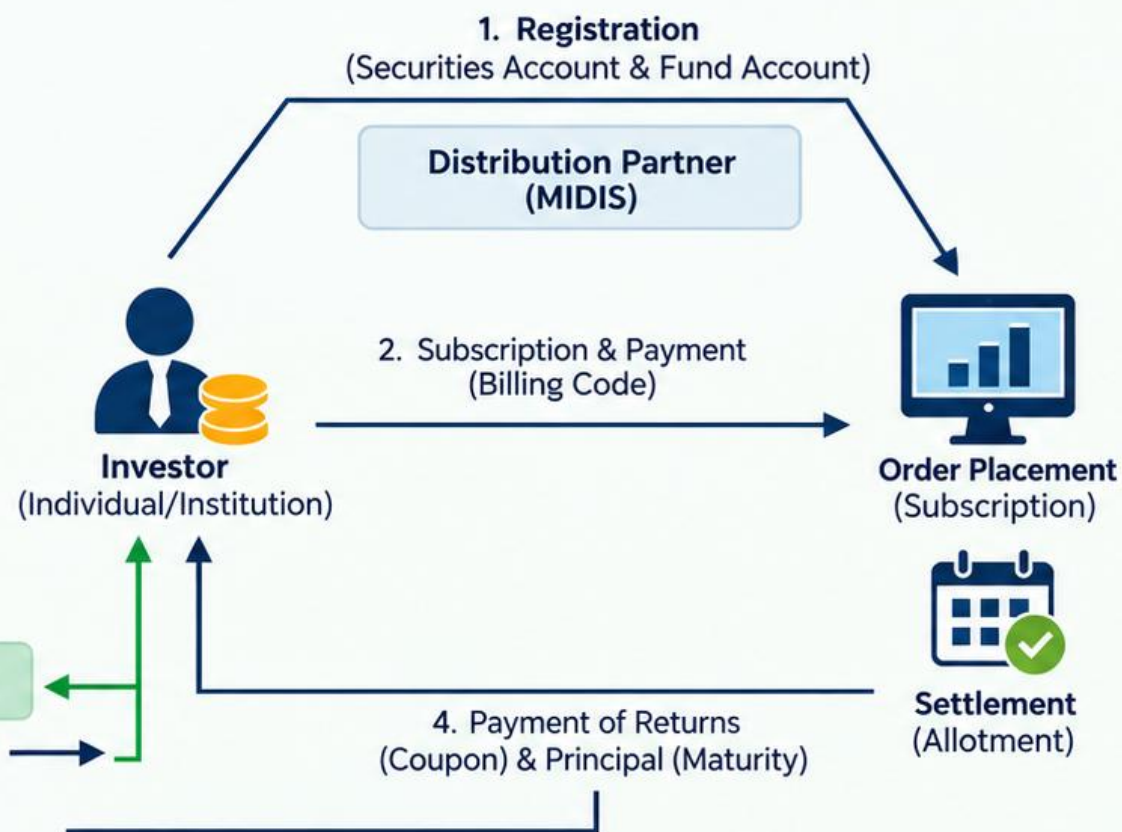
These instruments are specifically designed to avoid **gharar** (uncertainty) and **maisir** (gambling/speculation) by requiring a **clearly defined underlying asset** and a **risk-sharing mechanism**, thereby ensuring alignment with **Sharia principles**.

Sukuk Process Scheme: Issuance and Investment

Sukuk Issuance Scheme (Issuer)



Sukuk Investment Scheme (Investor)



Flow of Funds & Returns

(based on Sharia contracts – Ijarah, Mudharabah, etc.)

Mechanisms to Ensure the Circulation of Capital into the Real Sector

01

Asset-backed Structure: By linking financial instruments to real assets or specific projects, capital is directed toward **productive sectors**, thereby supporting infrastructure development and broader economic growth

02

Government Utilization: The government uses **Sovereign Sukuk** to finance the state budget and various development projects. This ensures that the funds raised are channeled into the **real sector**, rather than being used for speculative activities in financial markets.

Optimizing Retail Sukuk in Indonesia

#InvestasiRakyatPenuhManfaat



Pembangunan Tol Solo – Ngawi seksi I –
Colomadu Karanganyar Jawa Tengah



Pembangunan *Ramp on/off Flyover*
Amplas Medan



Pembangunan Jalan Gerung Mataram NTB



Pusat Konservasi Sanctuary Hiu Paus
Taman Nasional Teluk Cendrawasih,
Papua



Pembangunan gedung perkuliahan IAIN
Salatiga Jawa Tengah



Pembangunan Jalur Kereta *Double Track*
Selatan Jawa Cirebon-Kroya-Solo-Madiun-
Jombang



Asrama haji Makassar



Jembatan Youtefa (Holtekamp) - Papua

Protection Against Speculation (*Gharar* and *Maisir*)

01

Compliance with Sharia Principles: The prohibition of **riba (interest)**, **gharar (uncertainty)**, and **maisir (gambling/speculation)** is a core principle of Islamic finance. Instruments such as **Sukuk** and **SBIS** are designed to avoid excessive uncertainty and speculative elements by emphasizing **transparency** and **transactions backed by real assets**.

02

Risk-Sharing : Islamic finance emphasizes **profit-sharing** and **risk/loss-sharing mechanisms**, thereby reducing incentives for speculative behavior and aligning investors' interests with the **performance of the real sector**.

Building Economic Sovereignty: Independent Policy Making

01

Definition of Economic Sovereignty

Economic sovereignty refers to a country's ability to ensure the sustainability of its economy, maintain autonomy in policymaking, and achieve self-reliance in key areas of development.

02

Monetary Sovereignty

Monetary sovereignty refers to a country's ability to control its monetary policy, currency value, and exchange rate based on **domestic economic fundamentals**, rather than external pressures.

03

Avoiding Herd Behavior

Herding behavior in financial markets often emerges during periods of uncertainty and crisis, leading to decisions driven by panic. **Independent and rule-based policies**—such as maintaining a **floating exchange rate** and **central bank independence**—can help prevent the tendency to blindly follow global market trends.

Principle		Description	Policy Example
	Economic Sovereignty	Economic autonomy, self-reliance, and sustainability.	• Local currency zone • Self-reliant development
	Monetary Sovereignty	Control over the money supply and monetary policy.	• Independence of the central bank • Exchange rate determined by market fundamentals
	Avoiding Herd Behavior	Independent and evidence-based decision-making.	• Not following global trends uncritically

Zakat as Islamic Fiscal Instrument



The concept of zakat in Islam serves functions that are aligned with the fiscal objectives of the state, namely mobilizing funds for the public interest, alleviating poverty, and promoting social justice.

Characteristics

1. **Mandatory Nature** : Zakat is obligatory for every Muslim who meets the required conditions and possesses wealth that has reached the prescribed minimum threshold (**nisab**)
2. **Role of State** : Although zakat is a religious obligation, its collection and distribution may be managed by the **state or authorized institutions** to ensure that the funds are allocated effectively and equitably.

Zakat as Islamic Fiscal Instrument

Roles and Impact



Poverty Alleviation

Zakat is an important instrument for reducing poverty, improving social welfare, and strengthening social protection.



Economic Empowerment

Zakat can also be utilized for long-term socio-economic empowerment, such as financing education, providing healthcare services, and supporting economic development

programs.



Integration with Fiscal Policy

Zakat can complement the modern fiscal system, including through its integration into the national taxation framework or by allowing zakat payments to serve as a tax deduction.

Zakat as Islamic Fiscal Instrument in Some Countries

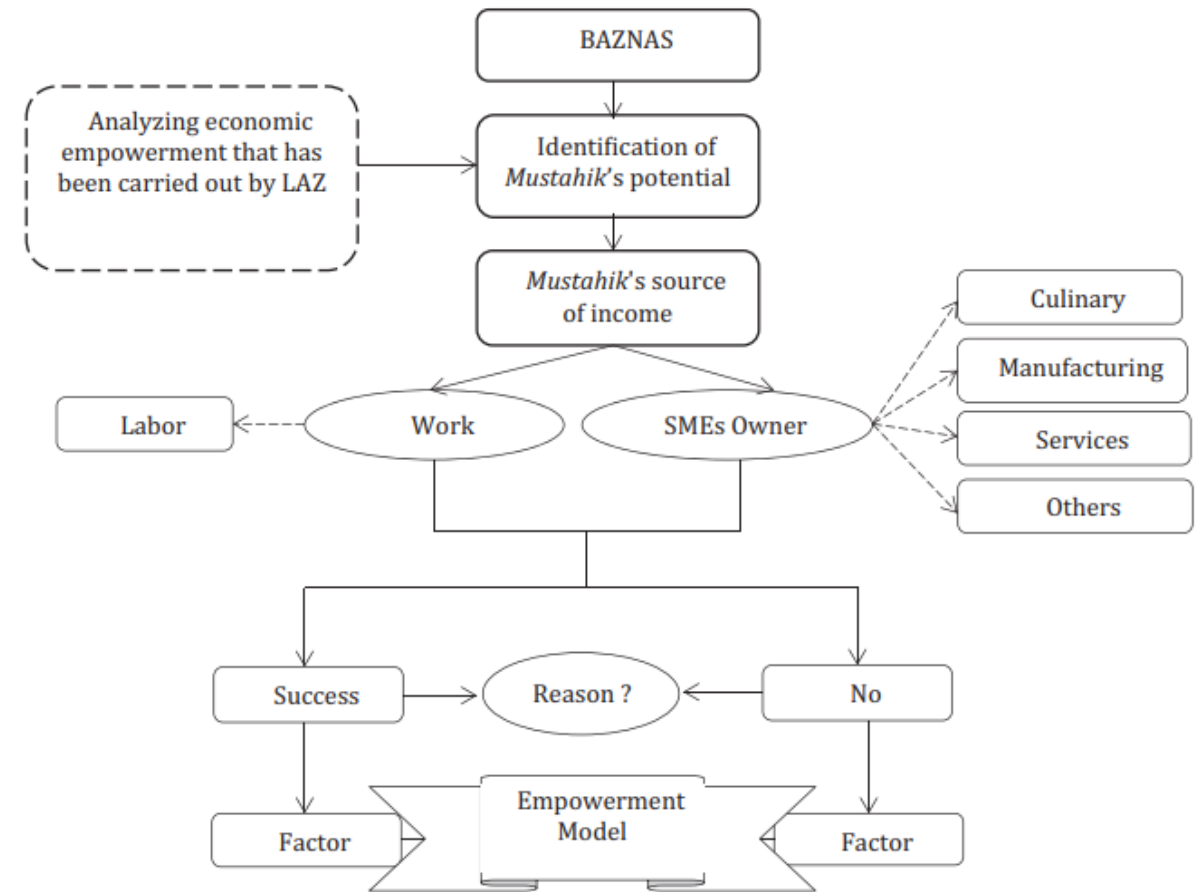
Country		Explanation	
	Malaysia		Zakat is managed within a legal and public policy framework, serving as an important tool for wealth redistribution, social welfare, and economic empowerment. Zakat institutions have adopted technological innovations in financial reporting and are encouraging formal integration into fiscal policies (<i>Adinugroho et al., 2024</i>).
	Indonesia		Zakat is recognized as a fiscal instrument, with the state being responsible for its collection and distribution. There are national zakat institutions, and zakat can be deducted from taxable income in accordance with the law (<i>Mukhlisin et al., 2024</i>).
	Saudi Arabia		Zakat is collected and calculated at the corporate level, with formal procedures for assessment and measurement, highlighting its role in fiscal policy (<i>Daud et al., 2025</i>).
	Kuwait		Similar to Saudi Arabia, zakat is calculated at the corporate level, reflecting its use as a fiscal tool (<i>Daud et al., 2025</i>).
	Turkey		Zakat is managed and regulated as a fiscal instrument, with comparative studies highlighting its role alongside Malaysia and Indonesia (<i>Mukhlisin et al., 2024</i>).
	Singapore		Singapore has zakat institutions that publish financial reports, demonstrating formal management and integration into the fiscal framework (<i>Adinugroho et al., 2024</i>).
	Muslim-majority African countries		Zakat remains prevalent and is considered a component of contemporary tax policy and a sustainable financial framework in several African countries (<i>Latif, 2026</i>).



In various countries, zakat is increasingly recognized as a **formal and strategic fiscal instrument**. Countries such as Malaysia, Indonesia, Singapore, Saudi Arabia, Kuwait, and Turkey have integrated zakat into their fiscal policies through regulations, formal institutions, and transparency in financial reporting. Meanwhile, in many Muslim-majority African countries, zakat plays a role as part of modern tax policy and a sustainable financial framework to support socio-economic development.

Productive Zakat and Its Utilization in the Real Sector

- **Productive zakat** refers to the utilization of zakat funds to generate sustainable economic, social, and spiritual added value in order to enhance the independence and welfare of mustahik
- **Zakat utilization** is the process of using and managing zakat funds with the objective of generating positive economic transformation.

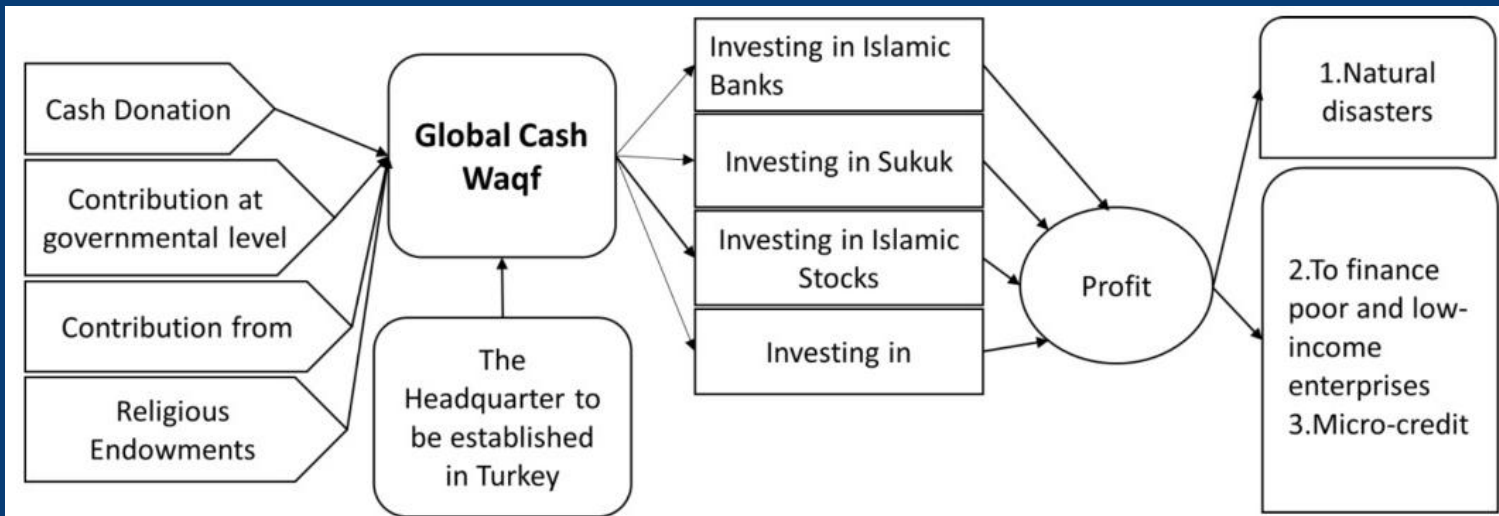


Source: Figure courtesy of Azis *et al.* (2017)

Empowerment Model based on Mustahik Potential

Impact on Local Businesses and Entrepreneurship

- **Microenterprise Growth:** Productive waqf programs, such as support for food stalls or livestock businesses, have been shown to empower microenterprises, enhance business growth and resilience, and improve the welfare of beneficiaries.
- **Business Mentoring:** Waqf programs accompanied by business mentoring can contribute to business development and improve the welfare of beneficiaries.
- **Mediating Role of Business Growth:** The positive impact of waqf on beneficiaries' welfare is often mediated by the growth of their small businesses. This indicates that waqf can serve as a **catalyst for microeconomic development** when utilized productively.



Source: Own Proposed Model

Figure 3: The Global Cash-waqf Model

PRODUCTIVE ZISWAF AND REAL SECTOR UTILIZATION

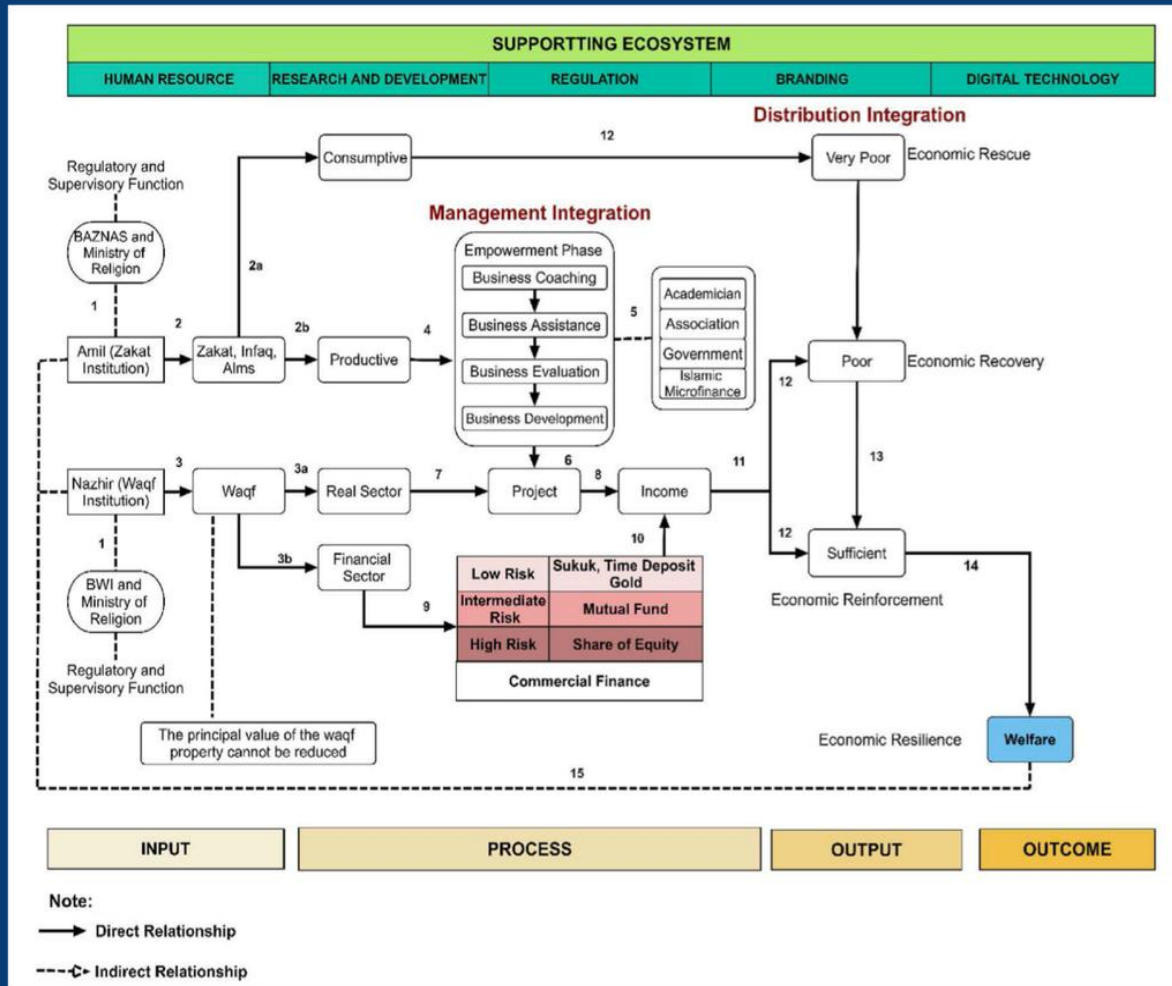
From Social Support to Sustainable Economic Impact

ASPECT	TRADITIONAL ZISWAF USE (CONSUMPTIVE)	PRODUCTIVE ZISWAF USE (PRODUCTIVE)	REAL SECTOR IMPACT
 MAIN FOCUS	 Basic needs and consumption	 Business capital and empowerment	 Increased production, competitiveness
 BENEFICIARY OUTCOME	 Temporary assistance, relieves immediate burden	 Sustainable income, self-reliance	 Poverty reduction, empowerment
 ECONOMIC CONTRIBUTION	 Limited economic contribution	 Significant economic contribution (if managed institutionally)	 Growth of the real sector, job creation



Productively managed ZISWAF can become a strategic instrument to drive growth in the real sector. Through business financing, community empowerment, and professional management, ZISWAF not only helps those in need but also creates economic self-reliance and long-term, sustainable development.

Zakat Wakaf Integration in Improving Welfare

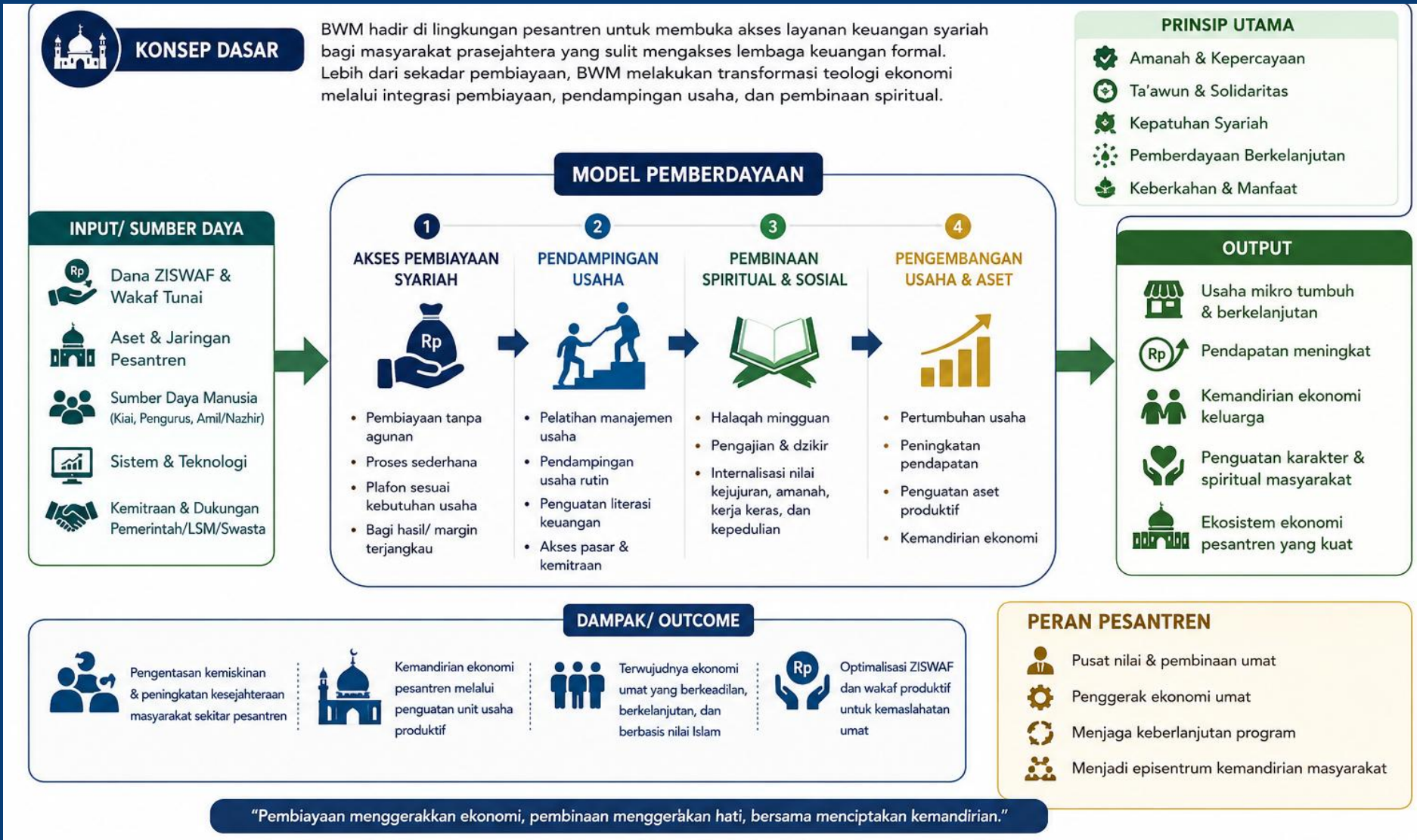


Dimension	Code of indicator	Integrated			Non-integrated	
		LMI	LYM	LAA	IZI	BML
Religion	A1	0.67	0.33	0.33	0.67	0.33
	A2	1	1.33	0.33	0.67	0.33
	A3	1	0.67	0.33	1	0.33
Life	J1	0.25	0.25	0.25	0.5	0.25
	J2	0.25	0.25	0.25	0.5	0.25
	J3	0.5	0.25	0.25	0.75	0.25
	J4	0.5	0.75	0.25	0.5	0.25
Mind	B1	1	2	1	3	1
Offspring	K1	2	1	0,5	1	0,5
	K2	0.5	1	0,5	1	0.5
Wealth	H1	0.25	0.5	0.5	0.5	0.25
	H2	1	1	1	0.5	1
	H3	1.25	1.25	1.25	0.5	1.25
	H4	0.75	1	1.25	0.5	1
Weighted Index		43.6	46.3	32	46.3	30
Average Weighted Index (AWI)		40.6			36.21	
Increase impact ([AWI score max – AWI score min]/ AWI score min)		12%				

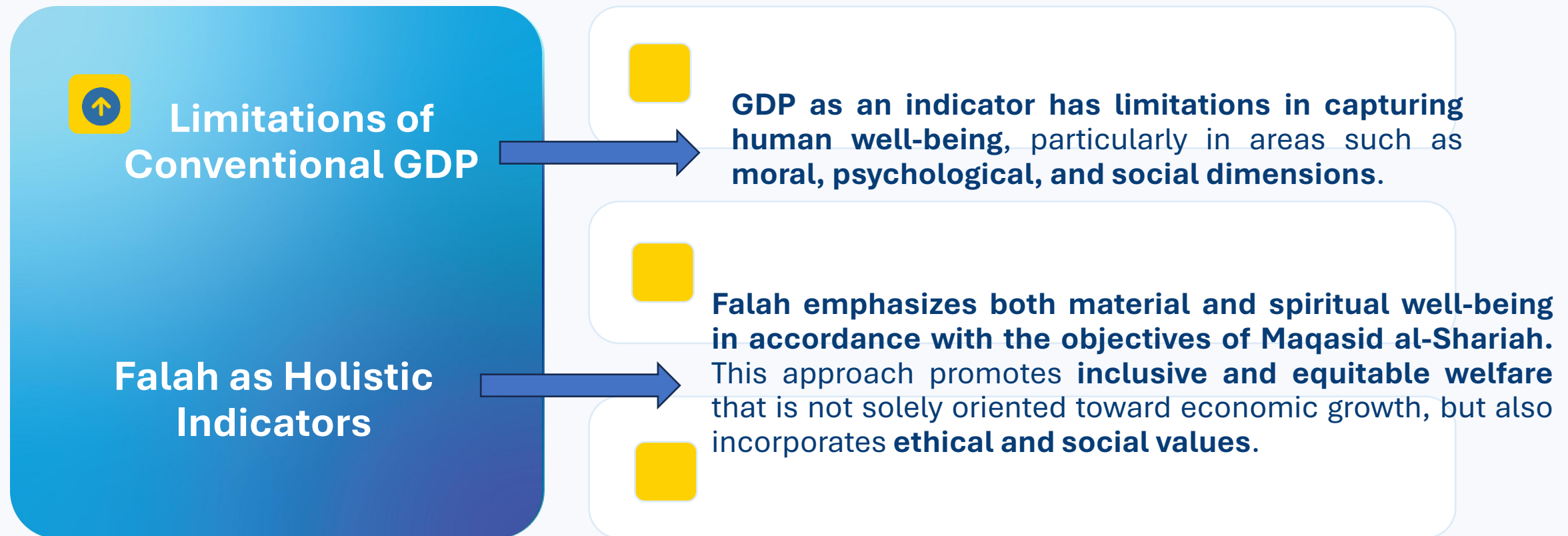
Not only zakat, waqf also contributes significantly to poverty alleviation and the reduction of related global risks. The integration of zakat and waqf can improve welfare effectiveness by up to 12%.

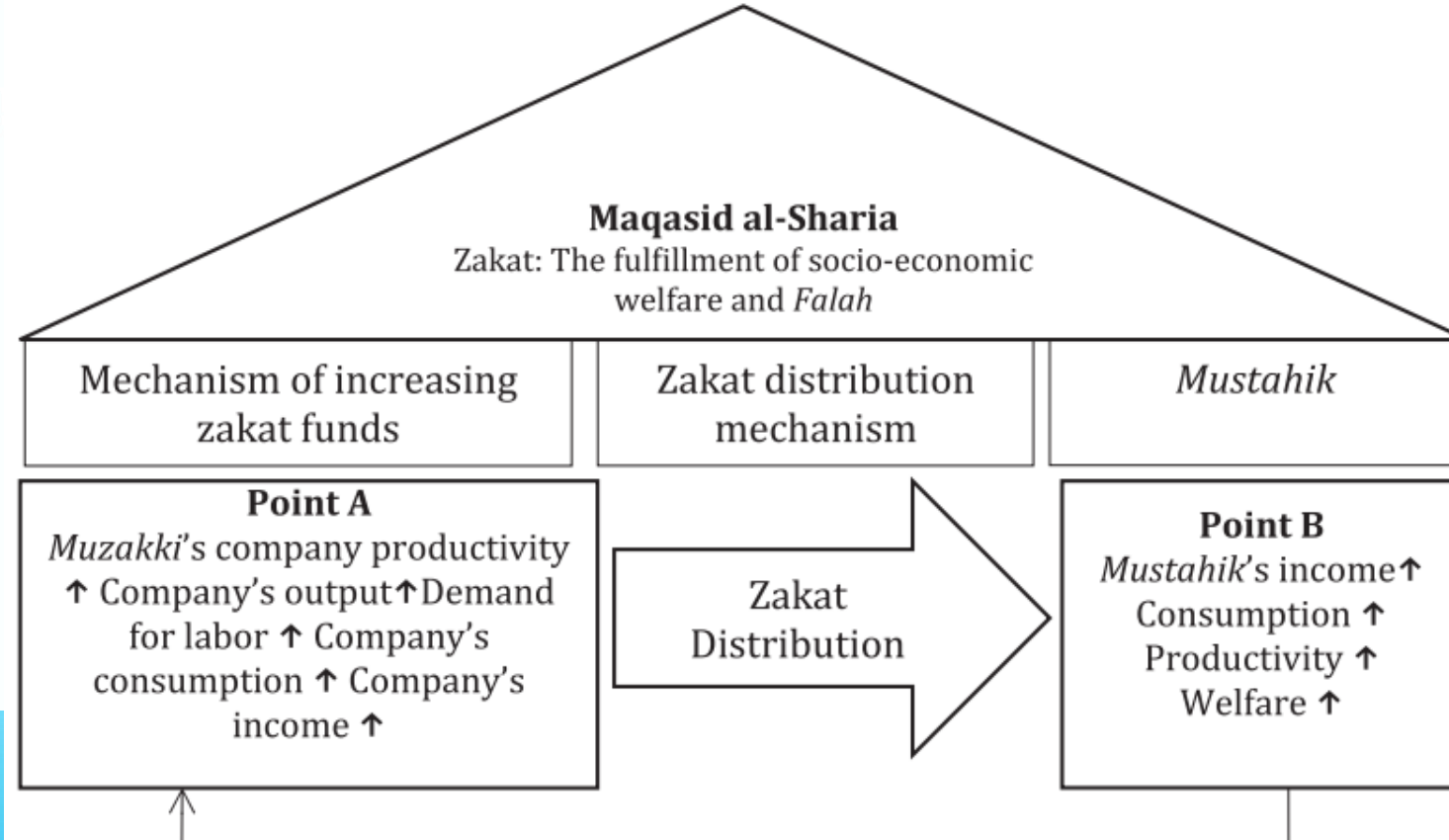
Islamic Boarding Empowerment Model Based on Micro Waqf Banks

In line with OJK Circular Letter No. 36/SEOJK.06/2025 on the Implementation of the Micro Waqf Program.



Shifting Success Indicators : From GDP to Falah





Source: Figure by author

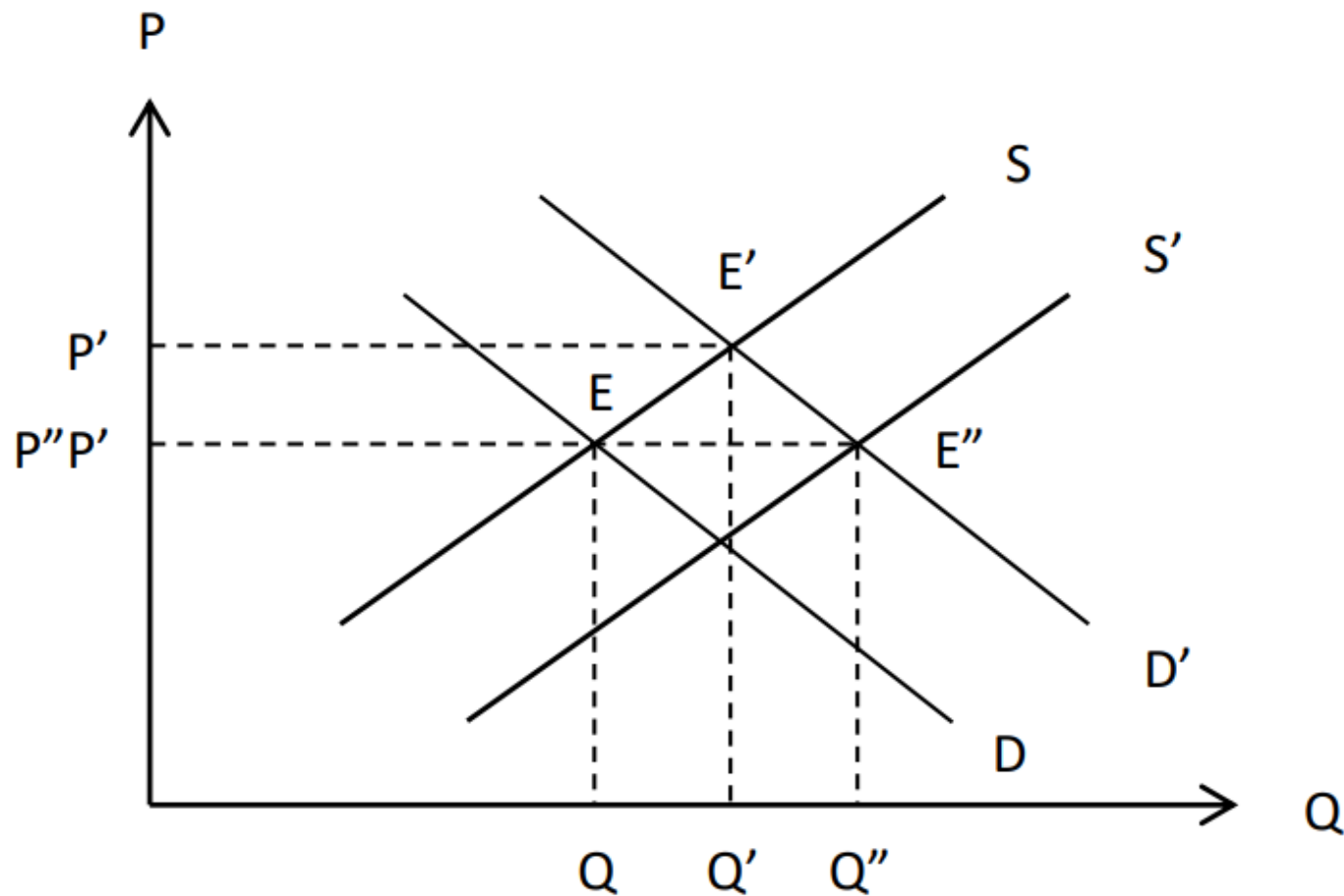
Figure 1.
Mechanism of zakat
to drive economy
growth

The ultimate goal of a Muslim is to achieve **Maqasid al-Shariah**. Zakat not only contributes to improving welfare but also serves a broader purpose, namely achieving **falah**—well-being in both this world and the Hereafter. All Muslim economic activities, including **production, consumption, and distribution**, are ultimately directed toward the fulfillment of **Maqasid al-Shariah** (Sri Herianingrum et al., 2023).

Consumption in Islamic Economics

- In conventional microeconomics, the objective of consumption is to satisfy human needs and achieve utility or satisfaction (Medias, 2018). In Islamic economics, however, the objective of consumption is to achieve maslahah in both worldly life and the Hereafter.
- Muslim consumption preferences are not driven solely by material values, but also by spiritual values, such as the expectation of receiving rewards from Allah.
- From the perspective of conventional microeconomics, the obligation to pay zakat may be viewed as economically irrational because it reduces an individual's disposable wealth without generating direct material utility.
- Conventional consumption is based on the concept of utility, whereas Islamic consumption is based on the concept of maslahah.

The Impact of ZISWAF on the Demand and Supply Curves



Gambar 2. Kurva Fungsi Zakat secara Mikro (Sakti 2007: 184).

Zakat can increase the purchasing power of mustahik, causing the demand curve to shift from **D** to **D'**. This shift in demand also moves the market equilibrium from **E** to **E'**, resulting in a temporary increase in prices rather than a permanent long-term rise.

From the muzakki side, zakat can contribute to higher productivity, causing the equilibrium to move toward **E''**. At **E''**, prices are corrected and become relatively more stable compared with the price level at **E'**.



Fear of Missing Out (FOMO)

- **FOMO (Fear of Missing Out)** is the fear or anxiety of missing opportunities, experiences, or potential gains that other people are enjoying or obtaining.
- In an economic and market context, FOMO can encourage individuals to **make impulsive decisions**, such as purchasing an asset simply because others appear to be making profits, without adequately considering the risks or its fundamental value.
- As a result, economic decisions become more influenced by **emotions, trends, and social pressure** than by rational considerations. The objective is often limited to achieving short-term satisfaction.

Tabel 2.1 Perbedaan Konsep Utilitas dan Mashlahah

Konsep Utilitas	Konsep Mashlahah
Kepuasan konsumen dalam mengkonsumsi barang dan jasa	Perilaku konsumen berdasarkan kebutuhan dan prioritas individu
Memengaruhi preferensi dan keinginan konsumen	Menolak kemudharatan
Lebih dekat dengan anggapan kepuasan secara materialistis	Pemetaan kebutuhan hanya berdasarkan apa yang menjadi kebutuhan, melihat kehalalan atau keharaman barang yang dikonsumsi, dan tidak berlebihan.
Ketika menentukan keputusan melihat pada kepuasan yang akan diperoleh	Ketika menentukan keputusan melihat pada kebutuhan yang mendesak dan hanya sekedar keinginan, bukan memprioritaskan kepuasan
Menunjukkan sikap <i>self interest</i> individu	Menonjolkan konsumsi yang dilakukan dapat berkontribusi terhadap sosial

OPINION • ACADEMIA

A global shift: Indonesia's role in a multi-hub Islamic economy

As the traditional single hub model of the Islamic economy fractures, a new model of interconnected regional nodes is rising in its place. Indonesia stands at a critical crossroads: Will it remain a passive consumer market, or will it seize the moment to become a primary architect of this new global network?

Deden Firman H and Asakita Dikarla Muhammad (The Jakarta Post)

PREMIUM

Jakarta • Fri, April 17, 2026

<https://www.thejakartapost.com/opinion/2026/04/17/a-global-shift-indonesias-role-in-a-multi-hub-islamic-economy>

Thank You

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